



“THE IMMEDIATE BULLET HAS BEEN DODGED... BUT START-UPS SHOULD NOW BE MORE CAREFUL ABOUT WHERE THEY PARK THEIR MONEY”

K. GANESH
SERIAL ENTREPRENEUR

one starting point for Indian banks.”

But SVB went beyond just traditional banking—by offering sundry advice to founders to helping them on the operational side. “SVB stood out because of how it resolved issues,” says Shachin Bharadwaj, a serial entrepreneur dabbling in cross-border start-ups, who fortunately withdrew his money from SVB accounts. “Now, we’ve picked neo-banks like Brex and Truly Financial in the US. But it doesn’t give the comfort of a large bank. You can’t build a relationship with them.”

Hence, it is all the more essential for SVB to come back to business. “Hopefully, they will put this behind and in the new avatar [under a new owner], go back to their original shape,” says Dhol of Athera.

THE SVB CRISIS has also reignited the domicile debate. Tech veteran T.V. Mohandas Pai has gone on record to say that Indian start-ups should resist pressures from large investors to domicile outside, especially in the

US or Singapore. However, for India-born SaaS start-ups, which have three-fourths of their customers overseas, there’s often little choice. “There are too many technical and economic difficulties in this [domicile in India] for it to be practical for companies that have the majority of their customers in the US,” says Iron Pillar’s Prasanna. “But for companies with a majority of business in India, it is something which founders should anyway consider.”

Why are so many Indian start-ups headquartered in the US? Of course, there’s SaaS—the great Indian export to the West after IT services. But some founders also have the desire to be acquired by US-based companies, and believe that proximity makes things easier. Dhol of Athera has a contrarian view. “Our position on this, unlike some large funds, has always been that we prefer you incorporate in India,” he says. “People think they can list on Nasdaq or a company in the US will acquire them and they may find it less attractive if they are India-incorporated. Our reading is entirely different. People will come and acquire you if you cre-



“THE SVB CRISIS IS A REMINDER TO HIRE THE RIGHT SET OF PEOPLE EARLY AND... HAVE AN ECOSYSTEM OF SUPPORTERS WHO CAN GUIDE THE COMPANY IN FINANCIAL DECISIONS”

ASHISH FAFADIA
PARTNER, BLUME VENTURES



“MORE INDIAN FIRMS ARE NOW SCALING GLOBALLY. PROVIDING GLOBAL SOLUTIONS FOR THEM IN AN EFFICIENT MANNER COULD BE ONE STARTING POINT FOR INDIAN BANKS”

ANAND PRASANNA
MANAGING PARTNER,
IRON PILLAR FUND

ate something worthwhile, irrespective of your jurisdiction.”

However, it is not as if domicile can be changed overnight. PhonePe, one of India’s most valuable unicorns, recently footed a ₹8,000-crore tax bill to shift its domicile from Singapore to India. CEO Sameer Nigam called it a “stiff shock” that an early-stage business would never be able to absorb.

But even if companies domicile in India, they are mandated to have bank accounts in the US if they serve customers there. “You need to have a US account because you have to pay your vendors, employees and suppliers there. So, you cannot avoid the local American bank altogether,” says Ganesh. “But what you can do is keep deposits only up to the insured limit, and bring the excess money to GIFT City or keep it in securities. That’s a good alternative [for funds] you don’t require in the short term.”

And it all circles back to the point of diversification. This time, with a capital D. **BT**

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